

We now understand that the liquidity requirement mainly pertains to the precautionary amount that we need. Liquidity for financial goals will be taken care of automatically when selecting assets to achieve them. We have also seen how liquidity affects our life. It so often happens that people, irrespective of having the assets, are unable to produce cash when needed. This is where liquidity management comes into the picture. For now, we will fill up the lazy profile canvas with our liquidity requirements. With this, we come to the end of our discussion about the fifth element of RRTLLU principle.

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With this we end our discussion of the fifth element of RRTLLU principle. The last two elements are pretty simple and straightforward. Let us move forward and understand them one by one.

